

NIGERIAN CONTENT DEVELOPMENT AND MONITORING BOARD (NCDMB) 7TH ANNUAL NATIONAL UNDERGRADUATE ESSAY COMPETITION

TITLE: NIGERIAN CONTENT AND THE LESSONS FROM THE COVID-19 PANDEMIC

INTRODUCTION

"In the midst of chaos, there is opportunity" (Sun). This quote from Sun Tzu highlights the idea that even in times of turmoil and disorder, there is the potential for positive outcomes and growth.

The Nigerian oil and gas industry has long recognized the significance of Nigerian Content, a policy aimed at boosting local participation, capacity development, and economic empowerment in the sector. However, the global COVID-19 pandemic has brought unprecedented challenges and disruptions to the oil and gas industry globally, including Nigeria. This prompted a question about the critical lessons learned from the COVID-19 outbreak in terms of Nigerian content policy in the oil and gas industry. Thus, the significance of Nigerian Content in the oil and gas industry is examined in this essay, with an emphasis on the impact of the COVID-19 pandemic on Nigeria content and the lesson learned from the COVID-19 outbreak in terms of Nigeria's content policy in the oil and gas industry.

NIGERIA CONTENT IN THE OIL AND GAS INDUSTRY

In a nutshell, "Nigerian Content" refers to the use of local resources and labor to contribute to the oil and gas sector in ways that fulfill quality, health, safety, and environmental requirements. The goal is to encourage the development of indigenous skills and competencies so that Nigeria may become less reliant on foreign aid and boost home economic growth [1]. The Nigerian Oil and Gas Industry Content Development (NOGICD) Act, which went into force on April 22, 2010, established the Nigerian Content Development and Monitoring Board (NCDMB) to fulfill these goals.

The Nigerian Content Development and Monitoring Board (NCDMB) has undertaken various initiatives, including the notable 10-Year Strategic Roadmap, to foster economic development, drive innovation, create jobs, and boost overall economic growth. NCDMB's significant role in catalyzing investments within the oil and gas sector further underscores its commitment, while its collaborative partnerships with other stakeholders underline a collective effort toward achieving local content goals. [2]

With NCDMB's instrumental efforts in upholding the Nigerian Content Policy for over a decade, it is essential to delve into the transformative effects of the COVID-19 pandemic on this commendable journey.

IMPACT OF THE COVID-19 PANDEMIC ON NIGERIAN CONTENT

Over the years, the Nigerian economy has relied heavily on the oil and gas business; however, the global impact of the COVID-19 outbreak on the industry has had a significant detrimental impact on the country's economy. Some of the effects include oil price collapse, reduced demand, supply chain disruptions, investment decline, financial strain, project delays, operation disruption, and refinery shutdowns.

According to the International Energy Agency (IEA) assessment, *“the energy industry was badly impacted by recurrent lockdowns in 2020, with slower transit, trade, and economic activity globally pushing energy consumption down by 4%.”* The unprecedented global financial shock triggered by the COVID-19 pandemic caused a deterioration in petroleum values.[3]

Nigeria's economy suffered a setback in 2020, regressing by three (3) years of recovery as a result of a decline in crude oil prices caused by a global drop in demand and measures to prevent the escalation of the COVID-19 pandemic. Nigeria's economy sustained a loss of about \$15 billion. Also, the nation's GDP fell by 6.1% and 3.62% in the second and third quarters of 2020, respectively, before increasing by 0.1% in the fourth quarter. The pandemic's impact reduced the gross domestic product by 1.98%.[4]

Amidst these economic challenges, it's crucial to examine the lessons learned from the COVID-19 outbreak in terms of Nigeria's content policy in the oil and gas industry.

LESSONS LEARNT FROM THE COVID-19 OUTBREAK IN TERMS OF NIGERIAN CONTENT POLICY IN THE OIL AND GAS INDUSTRY

The impact of the COVID-19 epidemic on the Nigerian oil and gas industry has resulted in several critical lessons that range from strategic risk management plans to developing indigenous expertise, embracing digitalization, and promoting partnerships. These lessons shed light on areas for improvement and provide useful insights for future industry development.

The first lesson to consider is strategic risk management plans. Risk is an integral part of every business; however, recognizing, managing, and preventing risks is a fundamental aspect of effective business management. The oil and gas business faced numerous risks during the COVID-19 Pandemic, including price volatility, transportation risk, political risk, environmental risk, operating risk, and supply and demand risk. As a result, I believe the pandemic underlined the significance of having effective risk management systems in place. By building comprehensive crisis response plans that address diverse scenarios, the sector should be prepared to navigate unexpected problems. The main objective of the company's oil and gas risk management is to ensure the continuity and stability of the production process by preventing threats and restricting the degree to which negative external and internal factors affect the company's activities.[5]

Another important lesson learned from the COVID-19 outbreak in terms of Nigerian Content strategy in the oil and gas industry is the importance of developing indigenous expertise. The disruption caused by the pandemic served as a wake-up call, brought to light the critical importance of having a skilled and adaptable local workforce, and also brought attention to the existing gaps in the industry's workforce. Investing in the development of local talent and expertise ensures that the industry can rely on local capabilities during times of crisis. This includes training, education, collaboration with educational institutions to design tailored programs that align with industry needs, ensuring a pipeline of skilled professionals to support indigenous businesses, and the promotion of STEM (science, technology, engineering, and mathematics) fields to support future growth. In essence, by fostering indigenous expertise, such a workforce is better prepared to deal with unanticipated obstacles, maintain operational continuity, and contribute to the sector's overall resilience in the face of uncertainties.[6]

Next, it is crucial to highlight that another significant lesson learned from the COVID-19 pandemic involves embracing digitalization. The integration of technology and data-driven solutions into many parts of the oil and gas business is known as digitalization. Undoubtedly, the pandemic has hastened the deployment of technology and digital solutions in industries including oil and gas. Remote work, data analytics, and digital communication technologies have all become necessary. Thus, encouraging the oil and gas industry to embrace advanced technologies and innovation is necessary. This involves investing in research and development, encouraging collaboration with technology suppliers, and pushing the use of digital solutions that improve efficiency, lower costs, and improve operational capabilities. Furthermore, the COVID-19 dilemma has only heightened the benefits of technology. Not only may such solutions help improve and streamline production, but technology can also assist us in adapting to the industry's new style of working and navigating this new "normal."

Finally, an equally significant lesson learned from the COVID-19 outbreak in terms of Nigerian content policy in the oil and gas industry is the need to promote partnerships. Increasing competition, increased risks, market instability, global threats like the COVID-19 pandemic, and economic fluctuations have pressurized many businesses, including those in the oil and gas sector. The pandemic highlighted the value of collaboration and partnerships across sectors. Industry players, government agencies, and local communities need to work together to address challenges, share resources, and foster a sense of unity in times of crisis. Thus, oil and gas companies, especially marginal oil field operators, should adopt collaboration as a winning strategy. Collaboration among operators will enable clusters of contiguous fields to achieve synergetic benefits. Furthermore, encouraging partnerships between indigenous businesses and international companies to leverage expertise, technology, and resources in Joint ventures can enhance knowledge transfer, skill development, and technology transfer.[7]

CONCLUSION

According to Albert Einstein, "In the middle of difficulty lies opportunity." The Nigerian Content Policy remains an important instrument for the development of Nigeria's oil and gas industry. It acts as a catalyst for long-term growth and resilience by encouraging local participation, capacity development, and economic empowerment. While the COVID-19 pandemic put the industry's adaptation to the test, it also highlighted the importance of Nigerian content in shaping a brighter future for Nigeria's economy. Addressing pre-

pandemic difficulties and maintaining ongoing support from relevant stakeholders is critical to maximizing the policy's benefits and creating a more robust and self-sufficient oil and gas sector for the country.

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